Governments, both at the Centre and the states, along with their public-sector entities, are sitting on a lot of land, which is used most unimaginatively. Each government should create a single land management corporation. All the land owned by the government and the public sector should be transferred to these land management corporations. They can manage the land as an asset management company to deploy land assets in the most productive manner. This will not only give better returns to the government but make land available for industrialization, urbanization and infrastructure creation at very economical prices to build competitiveness.

Besides land, interest on debt and cost of power are two other major factors affecting financial competitiveness of Indian industry. Industry is the productive sector of the economy. Yet, it pays the highest cost of electricity to the monopoly state power distribution companies. There are so many fetters on industry on generation of captive power and buying power from the cheapest source available. Likewise, there is no bond market for most of the industry in the country and the banking system, dominated by the risk-averse PSBs, lends too little and at too high a cost to most of industry.

Industrial Policy 2021 must adopt policies that make land availability very convenient and cost-effective. Industry should be allowed to source power at the cheapest rate available and the financial ecosystem should develop to enable industry to raise much-needed capital at globally competitive rates.

Introduce Policies to Make Industry Competitive

Reservation of basic industries, heavy industries and utilities for the public sector and nationalization of private enterprises during Industry Policy 1.0 created public-sector monopolies in several industrial sectors. SAIL, NMDC, NTPC, Air India, ONGC, Coal India, DoT/BSNL and many others represented virtual monopolies during the period from 1950 to 1990. There were quite a few monopolies in the financial sector: LIC, General Insurance